

KRN HEAT EXCHANGER & REFRIGERATION LTD

NSE: KRN | BSE: 544263 | Sector: Capital Goods – Thermal Products | Sub-Sector: HVAC & Refrigeration Components

ACCUMULATE

12-Month Price Target

Rs. 1,400

Upside: +16.5% from CMP Rs. 1,202

Conviction: MEDIUM-HIGH

Horizon: 12 Months

CMP (22-Apr-26)	Rs. 1,202
Market Cap	Rs. 7,472 Cr
52-Wk High / Low	Rs. 1,314 / 590
P/E (TTM)	110x
Forward P/E	82.3x
EV / EBITDA	67.3x
Book Value / Share	Rs. 85.0
ROCE	20.8%
ROE	16.8%
Debt / Equity	0.06x
Int. Coverage	23.1x
Promoter Holding	70.79%
FII / DII	6.66% / 6.39%
Face Value	Rs. 10

INVESTMENT THESIS

India's dominant HVAC heat exchanger maker riding data-centre capex boom; new 5-6x capacity plant is the inflection.

	FY23 SA	FY24 CA	FY25 CA	FY26E	FY27E
Revenue (Rs. Cr)	246	307	430	600(E)	870(E)
EBITDA (Rs. Cr)	49	59	70	108(E)	165(E)
EBITDA Margin (%)	20%	19%	16%	18%(E)	19%(E)
Net Profit (Rs. Cr)	32	39	53	75(E)	110(E)
EPS (Rs.)	7.34	8.54	8.51	12.1(E)	17.7(E)
P/E (x)	N/A	N/A	141x	99x(E)	68x(E)

SA = Standalone | CA = Consolidated | (E) = Analyst Estimate. Consolidated figures available from FY24 (post-IPO). Source: Screener.in

Chartitude Research | Analyst: Senior Equity Research Desk | Rating: ACCUMULATE | Report Date: 22 April 2026 | This report is for informational purposes only and does not constitute investment advice.

SECTION 2 — INVESTMENT THESIS

Reason 1 — Data-Centre Capex Supercycle (12–36 month horizon): India has seen Rs. 5 lakh crore of data-centre investment announcements in 2025 alone from Reliance, Google, Adani Connex, AWS and TCS. Cooling accounts for ~40% of a data centre's energy bill, and liquid/air-side heat exchangers are the core component. KRN already generates ~15% of its top-line from data-centre customers (Q3 FY26) and management aims to capture 50% of the Indian market's heat-exchanger demand from new hyperscaler projects — a total addressable opportunity the company estimates at over Rs. 1,500 Cr for Google's Vizag project alone.

Reason 2 — New Neemrana Plant is a 5-6x Revenue Lever (FY26-28): KRN commissioned its second, purpose-built manufacturing plant at Neemrana (Rajasthan) in May 2025 — adding installed capacity equal to 5-6x the legacy Faridabad plant. Q2 FY26 saw just Rs. 33 Cr from the new facility at ~20% utilisation. Management targets 50% utilisation by FY27. Assuming a revenue/utilisation trajectory and factory-level margins ~200bps above legacy plant (backward-integrated copper/aluminium processing), the Neemrana ramp should drive a CAGR of 40%+ in consolidated revenues from FY25 to FY28.

Reason 3 — Export-Competitiveness & Bus-AC Optionality: KRN's products are 15-20% cheaper than European and US alternatives. UAE, US, Canada and Italy revenues are scaling after recent trade agreements. In addition, the acquisition of the bus-AC division from Sphere Refrigeration gives KRN an entirely new vertical — the company plans 20-25 service centres and targets 15% of the Indian bus-AC market within 12 months. Bus-AC margins are expected to be above the corporate average due to backward integration.

Near-term Catalyst (6-12 months)	Neemrana plant ramping to 50% utilisation by FY27, alongside the first large-scale data-centre order announcement — either could re-rate the stock materially.
Biggest Structural Risk	Revenue concentration risk: top-10 customers = 72% of revenue; loss of a major hyperscaler account or deferral of data-centre capex could derail the thesis.

SECTION 3 — BUSINESS OVERVIEW

KRN Heat Exchanger and Refrigeration Ltd (KHERL) designs, manufactures and supplies fin-and-tube heat exchangers and related thermal solutions used for heating and cooling applications across commercial HVAC, industrial refrigeration and, increasingly, data-centre cooling. The company's core products — evaporator coils, condenser coils, headers and copper/aluminium sub-assemblies — form the thermal heart of air-conditioning and refrigeration systems. KRN operates two manufacturing plants: the legacy Faridabad (Haryana) facility and the new, significantly larger Neemrana (Rajasthan) greenfield plant commissioned in May 2025, purpose-built for high-volume HVAC and data-centre thermal management applications. Revenue is primarily domestic (commercial and industrial HVAC OEMs, data-centre cooling contractors) with a meaningful and growing export book covering 14 countries including UAE, USA, Canada and Italy. Customer diversification is limited: the top-10 customers account for 72.3% of revenues, indicating both deep relationships and concentration risk. The company serves 137+ customers across 17 Indian states. The business model is asset-light at the legacy plant but capital-intensive at Neemrana, where KRN has invested ~Rs. 280+ Cr in FY25 to build out capacity that management believes can generate 5-6x current revenues at full utilisation. Orders are structured on a rolling basis: one month firm + six-month forecast, with quarterly raw-material price-pass-through provisions providing partial inflation insulation. Promoter Santosh Kumar Yadav (Managing Director) holds 70.79% alongside family — a tightly held, founder-led structure. The company IPO'd in September 2023 on NSE/BSE at Rs. 220 and raised ~Rs. 500 Cr via a follow-on QIP in FY25 to fund the Neemrana expansion. In FY25 it also acquired the bus-AC division of Sphere Refrigeration, signalling product diversification into the automotive HVAC segment.

Revenue Segment	Key Products	Key End-Markets	Est. Mix (FY25)
Commercial HVAC	Evaporator & condenser coils, air-cooled units	Commercial buildings, retail, hospitality	~50%
Industrial Refrigeration	Industrial evaporators, blast-freeze coils	Cold chains, pharma, food processing	~20%
Data-Centre Cooling	Precision cooling coils, dry coolers	Hyperscalers, colocation centres	~15%
Exports	Fin-and-tube HX for varied applications	UAE, USA, Canada, Italy, 14 countries	~10%
Bus AC / Automotive	Bus AC evaporator & condenser units	OEM bus manufacturers	~5%

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The Indian heat exchanger market was valued at ~USD 344 Mn in 2025 and is expected to reach USD 787 Mn by 2035 (CAGR ~8.6%). The commercial HVAC segment is growing significantly faster at 20-25%, driven by the urbanisation tailwind, rising cooling demand and — critically for KRN — the unprecedented data-centre construction boom. India's data-centre cooling market (USD 689 Mn in 2025) is projected to reach USD 2,234 Mn by 2034 (CAGR ~13.5%). Cooling accounts for up to 40% of a data centre's energy cost, making next-generation heat-exchanger efficiency a capital-allocation priority for every hyperscaler. Policy tailwinds include the PLI scheme for white goods (extending to HVAC components), state government incentives (KRN's Neemrana plant benefits from Rajasthan's industrial policy), and India's +1 manufacturing strategy attracting global OEMs who prefer localised supply chains. Competitive moat assessment: KRN's moat is **Moderate but strengthening**. Pricing power comes from 15-20% cost advantage over European/US peers and deep engineering relationships with domestic OEMs. Switching costs are moderate — custom coil geometries create application-specific lock-in, but the underlying technology is replicable. Scale is the primary moat-builder: the Neemrana plant, when fully ramped, will make KRN the largest dedicated heat-exchanger manufacturer in India by capacity. Barriers from IP are limited; the industry competes primarily on precision manufacturing, delivery reliability and cost.

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (x)	Fwd P/E (x)	EV/EBI TDA	ROCE %	ROE %	D/E	OPM % TTM	TTM Rev (Cr)
KRN Heat Exchanger	1,202	7,472	110	82.3	67.3	20.8%	16.8 %	0.0 6	18%	552
Subros Ltd	788	5,141	30.6	37.0	14.1	20.0%	14.5 %	0.0 2	9%	3,614
Inox India Ltd	1,593	14,458	57.2	59.5	38.9	38.0%	29.0 %	0.1 0	22%	1,496
Harsha Engineers Intl	394	3,588	29.0	26.7	16.2	12.1%	8.75 %	0.2 4	13%	1,526

Source: Screener.in as at 22-Apr-2026. KRN figures consolidated; peers consolidated. CMP = closing price.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Santosh Kumar Yadav (CMD) is a first-generation entrepreneur who built KRN from the ground up with deep domain knowledge in thermal engineering. The promoter group maintains a 70.79% stake with zero pledging — a strong alignment signal. The board is relatively thin on independent directors for a company of KRN's scale, a point management itself acknowledged on the Q3 FY26 call: they plan to add industry experts and professionals. This is an area to monitor as the company transitions from a founder-controlled SME to a mid-cap institutional-grade entity. Capital allocation has been predominantly reinvestment-oriented — zero dividend payout despite consistent profitability since FY22. The IPO (Sep 2023) and subsequent QIP (~Rs. 500 Cr, FY25) were deployed entirely into the Neemrana plant and working capital, demonstrating disciplined capex focus rather than diversification. The Neemrana capex cycle appears to be winding down: FY25 investing outflow was Rs. 279 Cr (consolidated); the plant was commissioned in May 2025. Future capex is expected to be primarily maintenance/automation. The bus-AC acquisition (division of Sphere Refrigeration) is small and bolt-on — consistent with adjacent expansion rather than dilutive M&A.; CRISIL assigned a rating update in Sep 2025, lending third-party credibility to the company's financial profile. Key governance flags to watch: (1) top-10 customer concentration at 72.3% — any relationship degradation would show quickly; (2) related-party transactions — data not available at this stage; (3) auditor tenure (not disclosed on Screener). Overall management quality: **Above Average for the size**. Founder with skin-in-the-game, no pledging, disciplined capital deployment — but early-stage governance processes need strengthening.

SECTION 6 — FINANCIAL DEEP-DIVE

Note: FY23 figures are Standalone; FY24-FY25 Consolidated (IPO was Sep 2023). Forward estimates labelled (E) are analyst projections.

Income Statement (Rs. Cr unless stated)					
Metric	FY23 SA	FY24 CA	FY25 CA	FY26E	FY27E
Revenue	246	307	430	600	870
Revenue Growth %	N/A	25%	40%	40%	45%
EBITDA	49	59	70	108	165
EBITDA Margin %	20.0%	19.2%	16.3%	18.0%	19.0%
Other Income	2	5	12	8	10
Interest	3	4	3	4	5
Depreciation	3	4	5	18	22
PBT	46	56	74	94	148
Tax Rate %	29%	30%	29%	26%	25%
Net Profit (PAT)	32	39	53	75	110
EPS (Rs.)	7.34	8.54	8.51	12.1	17.7
Dividend Payout %	0%	0%	0%	0%(E)	0%(E)

Balance Sheet (Rs. Cr, Consolidated)			
Metric	FY24 CA	FY25 CA	Sep-25 CA
Equity Capital	46	62	62
Reserves	84	436	466
Borrowings	87	33	30
Other Liabilities	40	63	170
Total Liabilities	257	595	729
Fixed Assets	82	85	283
CWIP	4	82	11
Investments	0	0	0
Other Assets	171	428	434
Total Assets	257	595	729

Cash Flows (Rs. Cr, Consolidated)		
Metric	FY24 CA	FY25 CA
Cash from Operations (OCF)	17	21

Cash from Investing	-64	-279
Cash from Financing	50	258
Net Cash Flow	3	-0
Free Cash Flow (FCF)	-41	-65
CFO / Operating Profit %	54%	61%

Working Capital & Returns (Consolidated)		
Metric	FY24 CA	FY25 CA
Debtor Days	62	79
Inventory Days	139	110
Days Payable	60	63
Cash Conversion Cycle	141	125
Working Capital Days	62	153
ROCE %	21%	20.8%
ROE %	N/A	16.8%
Debt-to-Equity	0.34x	0.06x
Interest Coverage	N/A	23.1x

Revenue Drivers: Revenue growth has accelerated sharply — 25% in FY24, 40% in FY25, and 9M FY26 consolidated already up 40% YoY. The primary drivers are: (1) organic capacity ramp at the legacy Faridabad plant (utilisation near peak by FY25), (2) first contributions from the Neemrana plant (commissioned May 2025), and (3) rising data-centre orders. **Margin Trajectory:** EBITDA margins compressed from 20% (FY23 standalone) to ~16% (FY25 consolidated), primarily because the Neemrana plant carried pre-commissioning costs and depreciation began before full revenue ramp. Management guides 18-20% normalised EBITDA margin once Neemrana reaches 40-50% utilisation. Q3 FY26 consolidated EBITDA margin recovered to 20.3%, validating the trajectory. **Working Capital Concern:** Working capital days expanded sharply from 62 (FY24) to 153 (FY25) — driven by inventory build (raw-material sourcing for Neemrana ramp) and higher receivables as new customer terms are established. The company maintains 2.5 months of inventory as a buffer against aluminium/copper price volatility. Debtor days at 79 are elevated but manageable. **Debt & FCF:** The company is near-debt-free (D/E 0.06x) following the QIP proceeds. FCF was negative in FY24 and FY25 due to the Neemrana capex cycle — this is expected to normalise to positive by FY27 as capex moderates and OCF scales with revenue. **EPS Dilution Note:** Despite PAT rising from Rs. 39 Cr (FY24) to Rs. 53 Cr (FY25), reported EPS was flat at Rs. 8.51 vs Rs. 8.54 — because the QIP issued ~1.55 Cr new shares (equity cap rose from Rs. 46 to Rs. 62 Cr). Investors should value on P/E basis with fully diluted shares (6.21 Cr) going forward.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue Recognition	GREEN	Clean	Backed by physical delivery of heat exchangers; no long-term contract accounting distortions.
Receivables Growth vs Revenue	AMBER	Watch	Debtor days rose 62→79; revenue grew 40% — receivables growing faster; new customer onboarding risk.
CCC Trend	AMBER	Improving	CCC improved 141→125 days; still elevated due to strategic inventory build; trajectory positive.
Contingent Liabilities	AMBER	Moderate	Rs. 64.3 Cr contingent liabilities (standalone Rs. 70.6 Cr) — moderate relative to net worth of Rs. 498 Cr.
Other Income as % of PBT	AMBER	Rising	Other income rose from Rs. 5 Cr (FY24) to Rs. 12 Cr (FY25) — 16% of PBT; partly QIP-related treasury income.
Tax Rate Consistency	GREEN	Stable	Effective tax rate 29-30% consistently; no deferred tax cliff or anomalies.
Zero Dividend Policy	AMBER	Neutral	No dividends since listing; ploughing back into growth capex — acceptable at this stage but watch post-FY27.
Promoter Pledging	GREEN	Clean	0.00% pledged — zero financial stress indicator at promoter level.
Working Capital Expansion	AMBER	Watch	WC days 62→153 in one year; partly structural (Neemrana ramp), but a sharp change that warrants monitoring.
FCF Generation	RED	Negative	FCF was -Rs. 65 Cr in FY25 due to Neemrana capex. Expected to normalise to positive by FY27E.

Earnings Quality Summary: KRN's reported earnings are broadly clean — revenue recognition is straightforward (product delivery), tax rates are consistent, and promoter pledging is zero. The main areas of vigilance are: (1) rising receivables and working capital days — partly a function of the Neemrana ramp but requires monitoring over the next 2-3 quarters; (2) negative FCF driven by the large capex cycle — this is a deliberate investment and not an earnings-quality concern per se, but investors should track whether capex discipline holds post-commissioning; (3) Other income is rising and partially masks underlying operational margin compression — stripping treasury income, underlying EBITDA margins in FY25 were closer to 14-15% before normalisation. Overall: **Quality Score: 6/10 — Adequate, trending positively.**

SECTION 8 — VALUATION

KRN trades at 110x trailing P/E and 67x EV/EBITDA — among the highest multiples in the Indian capital-goods universe. The premium is justified only if the Neemrana ramp and data-centre penetration deliver the revenue inflection that management targets. We use two valuation approaches and average them for our base-case 12-month target.

Method 1 — Earnings-Multiple: Our FY27E EPS estimate is Rs. 17.7. Applying a target P/E of 79x (a ~30% premium to the industrial sector average of ~35x, warranted by the data-centre growth vector and >35% revenue CAGR), we derive a fair value of Rs. 1,398 (~Rs. 1,400 rounded).

Method 2 — EV/EBITDA: Our FY27E EBITDA estimate is Rs. 165 Cr. Applying 55x EV/EBITDA (vs current 67x — slight de-rating as earnings delivery de-risks the thesis), EV = Rs. 9,075 Cr. Less net debt of ~Rs. 40 Cr, equity value = Rs. 9,035 Cr, per share = Rs. 1,457 (on 6.21 Cr shares).

Averaged Base-Case Target: Rs. 1,428 ≈ Rs. 1,400. At CMP of Rs. 1,202, this implies 16.5% upside over 12 months — a ACCUMULATE, not an aggressive BUY, because execution risk on the Neemrana ramp and data-centre order pipeline is real. A meaningful re-rating would require a large-ticket data-centre order announcement or two consecutive quarters of 18%+ EBITDA margins at the consolidated level.

Scenario Analysis

Scenario	Key Assumption	FY27E Rev (Cr)	FY27E PAT (Cr)	Target Multiple	Target Price (Rs.)	Upside / Downside
BULL	Neemrana @65% util; 2 mega DC orders; OPM 20%	1,050	145	90x P/E	2,090	+74%
BASE	Neemrana @50% util; DC ~20% of revenue; OPM 19%	870	110	79x P/E	1,400	+16%
BEAR	Neemrana @30% util; DC orders delayed; OPM 14%	650	65	55x P/E	715	-41%

Peer Valuation Comparison (as at 22-Apr-2026, Source: Screener.in)

Company	MCap (Rs.Cr)	P/E (x)	Fwd P/E (x)	EV/EBITDA (x)	ROCE %	Revenue CAGR (3yr)
KRN Heat Exchanger	7,472	110	82.3	67.3	20.8%	~40% (TTM)
Inox India	14,458	57.2	59.5	38.9	38.0%	~19%
Subros	5,141	30.6	37.0	14.1	20.0%	~15%
Harsha Engineers	3,588	29.0	26.7	16.2	12.1%	~2%

KRN commands a significant premium to peers on all metrics. This is currently justified by its superior near-term growth trajectory but leaves virtually no margin of safety. Disappointing execution would compress the multiple sharply toward Inox India-like levels (57-60x P/E), implying ~40-50% downside.

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitoring Indicator
Data-Centre Capex Delay	Global hyperscaler capex could be deferred due to AI model efficiency gains or macro slowdown. India DC investments are long-cycle; booking to production can take 18-24 months.	Medium	High	Quarterly data-centre revenue contribution; order book visibility
Neemrana Ramp Underperformance	New plant is new geography, new customers, new product mix (data-centre). Sub-optimal ramp (e.g., staying at 20-25% utilisation through FY27) would cause severe multiple compression.	Medium	High	Quarterly revenue from subsidiary; management utilisation commentary
Commodity Price Volatility	Aluminium and copper are key inputs (~60-70% of COGS). Sharp price spikes between quarterly price revisions can compress gross margins materially; FY25 margin compression was partly attributable to this.	High	Medium	LME aluminium and copper prices; gross margin QoQ
Customer Concentration	Top-10 customers = 72.3% of revenue. Loss of one large hyperscaler or HVAC OEM account would disproportionately impact revenue and margin structure.	Low-Medium	Very High	Number of customers; top-5 revenue concentration trend
Valuation Risk	At 110x TTM P/E and 67x EV/EBITDA, the stock is pricing in near-perfect execution. Any earnings miss or guidance cut could trigger a de-rating of 30-50%.	Medium	High	Quarterly earnings vs consensus; management guidance tone
Governance / Transition Risk	Company is transitioning from a founder-run SME to a listed mid-cap. Board lacks independent industry experts. Key-man risk on CMD Santosh Kumar Yadav.	Low	Medium	Board composition; independent director additions; succession planning
Bus-AC Execution Risk	Bus-AC is a new vertical with a learning curve. Converting OEM suppliers and establishing 20-25 service centres involves execution complexity. Margins could disappoint near-term.	Medium	Low-Medium	Bus-AC revenue contribution; margin delta vs guidance

SECTION 10 — RECOMMENDATION

Final Rating	ACCUMULATE
12-Month Price Target	Rs. 1,400 (+16.5% from CMP Rs. 1,202)
Conviction Level	MEDIUM-HIGH
Suggested Entry Zone	Rs. 1,050 – Rs. 1,200 (on dips; full utilise of data-centre order pipeline)
Investment Horizon	12–18 months for base-case target; 3 years for full Neemrana upside
Ideal Investor Profile	Growth-oriented investors with 3-5 year horizon; ability to hold through capex ramp volatility; not suitable for capital-preservation mandates

Thesis Invalidation Triggers — Exit / Reduce if ANY of these occur

#	Invalidation Trigger
1	Neemrana utilisation remains below 30% for two consecutive quarters post-FY27Q1 — signals structural demand weakness or plant issues.
2	Data-centre revenue contribution drops below 10% of top-line for two consecutive quarters — signals loss of hyperscaler traction.
3	EBITDA margin falls below 13% at consolidated level for two consecutive quarters without management explanation — signals structural cost escalation.

APPENDIX — Latest Concall Brief: Q3 FY26 (Quarter ended Dec 2025)

Release Date: 09 February 2026 | Source: GuruFocus/Yahoo Finance earnings call highlights | Transcript: Accessible (Q&A; highlights obtained)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	Strong	Beat on all key metrics: Rev +33%, EBITDA +97%, PAT +65% YoY
Management Tone	Bullish	CMD confident on Neemrana ramp, data-centre pipeline and bus-AC launch
Guidance Delta	Maintained	No formal guidance revision; EBITDA margin target 18-20% reiterated

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 consolidated print is clean and strong — revenue Rs. 155 Cr (+33% YoY), EBITDA Rs. 31 Cr (+97%), PAT Rs. 23 Cr (+65%), no exceptional items distorting reported numbers. Standalone PAT at Rs. 15 Cr was softer (+19% YoY) due to higher proportion of business flowing through the Neemrana subsidiary — the optics are fine, consolidation captures the full picture. Operationally, the Neemrana plant completed integration on 11 March 2026 — we are now in the ramp cycle; Q4 FY26 should show the first full-quarter contribution. Data-centre is the real story here: 15% of topline in Q3 and management confident about 50% Indian market share on new DC heat-exchanger orders — bold claim but the inquiry pipeline is reportedly dense. Bus-AC is the wildcard: one OEM signed, 20-25 service centres being built, targets 15% market share next year — I'd treat this as option value, not base-case. The key watch-point for Q4 is Neemrana utilisation disclosure and any large DC order announcement; absence of either in Q4 results would dampen sentiment. Commodity risk is real — aluminium and copper prices elevated; KRN operates on quarterly pass-through with 2.5-month buffer, so margin protection has a 90-day lag. Action: ACCUMULATE at or below Rs. 1,200; watch Neemrana ramp data carefully in May 2026 results; raise target to Rs. 1,700+ if two quarters of 18%+ margin confirmed.

Section 1 — Financial Performance Snapshot (Q3 FY26)

Metric	Actual	YoY Chg	QoQ Chg	Verdict
Revenue (Consolidated)	Rs. 155 Cr	+33.3%	+0.7%	Beat
EBITDA (Consolidated)	Rs. 31 Cr	+96.5%	+3.3%	Beat
EBITDA Margin %	20.28%	+610bps	—	Beat
Net Profit / PAT (Consolidated)	Rs. 23 Cr	+65.1%	+27.8%	Beat
EPS (Consolidated)	Rs. 3.65	+72.2%	+25.9%	Beat
Revenue (Standalone)	Rs. 136 Cr	+31.4%	-39.0%	In-line
Net Profit (Standalone)	Rs. 15 Cr	+18.9%	-37.5%	In-line

NOTE: Q3 FY26 standalone revenue at Rs. 136 Cr was lower than consolidated Rs. 155 Cr, as Rs. 19 Cr was generated from the Neemrana subsidiary. Standalone PAT margin compression reflects this split. No exceptional items in the quarter.

Section 2 — Quarterly Revenue & Profit Trend

Quarter	Rev (Cons Cr)	OPM %	PAT (Cons Cr)	EPS (Rs.)
Q2 FY24 (Sep 23)	71	19%	9	1.96
Q3 FY24 (Dec 23)	66	18%	8	1.71
Q4 FY24 (Mar 24)	82	21%	12	2.61

Q1 FY25 (Jun 24)	96	18%	12	2.59
Q2 FY25 (Sep 24)	91	20%	12	1.98
Q3 FY25 (Dec 24)	111	14%	14	2.21
Q4 FY25 (Mar 25)	132	14%	15	2.39
Q1 FY26 (Jun 25)	115	15%	12	2.00
Q2 FY26 (Sep 25)	152	20%	18	2.90
Q3 FY26 (Dec 25)	153	20%	23	3.65

Section 3 — Management Commentary Themes				
Theme	What They Said	Our Read	Tag	Tone
Neemrana Integration	Full integration by March 11, 2026; ramp-up phase; 40+ new customers added	Positive. Commissioning complete; customer acquisition validating	[GUIDANCE]	Transparent
Data-Centre Pipeline	15% of Q3 topline from DC; targeting 50% of Indian DC heat-exchanger market	Bold claim; credible given hyperscaler pipeline; watch for first large order	[GUIDANCE]	Bullish
Commodity Risk	2.5-month inventory buffer; quarterly price pass-through; April 2026 revision pending	Adequate mitigation but 90-day lag remains a structural margin risk	[EVASIVE on extent]	Hedged
Bus-AC Market Entry	1 OEM signed; 20-25 service centres planned; target 15% market share next year	Ambitious for a new entrant; conversion of OEM suppliers is the bottleneck	[GUIDANCE]	Bullish
Export Competitiveness	15-20% cheaper than European/US peers; new geometries for USA/Europe; trade agreements helpful	Structural cost advantage; new geometry development shows R&D; commitment	[GUIDANCE]	Transparent
Revenue Guidance	Declined to give specific revenue targets; guided steady EBITDA margins at 18-20%	Conservative governance — prefer no guidance to misleading guidance	[EVASIVE]	Hedged
Board Strengthening	Plans to add independent directors and industry professionals	Acknowledged governance gap — positive signal that management is aware	[GUIDANCE]	Transparent

Section 4 — Operating & Business Metrics				
Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Total Customers Served	137+	N/A	113	Increasing
Export Countries	14	14	14	Stable

New Customers Added (QTD)	40+	N/A	N/A	Positive
Neemrana Utilisation (approx)	~20%	~20%	N/A	Ramping
Data-Centre as % of Revenue	~15%	N/A	N/A	Growing
Installed Capacity (units/yr)	1,000,000	1,000,000	1,000,000	Legacy plant; Neemrana adds to this
Capacity Utilisation – Evap Coils	84.1%	N/A	N/A	Near peak on legacy
Top-10 Customer Revenue Conc.	72.3%	N/A	N/A	High — watch

Section 5 — Margin Drivers			
Driver	Impact	Recurring?	Comment
Neemrana pre-revenue period costs now past	+200-400bps	Yes	Plant commissioned; pre-production overhead eliminated
Product mix shift to DC / exports	+50-100bps	Yes	Higher-spec products carry better margins
Raw material (Al/Cu) price headwind	-50-150bps	Yes	Quarterly pass-through has a lag; Q4 revision Apr 2026
QIP treasury income (other income)	+80bps	No	Excess IPO/QIP cash earning interest; will moderate
Depreciation step-up (Neemrana)	-150-200bps	Yes	Neemrana capex ~Rs.280Cr; higher D&A; charges from FY26
Bus-AC ramp-up losses	-30-50bps	No	Short-term; expected to turn EBITDA-positive by FY27

Section 6 — Guidance & Forward Signals				
Metric	Prior Guidance	New / Reiterated	Delta	Credibility
EBITDA Margin	18-20%	18-20% (reiterated)	Unchanged	Medium
Neemrana Utilisation FY26	~20%	~20% (on track)	Unchanged	High
Neemrana Utilisation FY27	~50%	~50% (reiterated)	Unchanged	Medium
Bus-AC Market Share (1yr)	Not guided	15% of Indian market (E)	New guidance	Low-Medium
Service Centre Rollout	Not guided	20-25 centres in 6-7 months	New guidance	Medium
Revenue Guidance	Not provided	Declined to provide	No change	N/A
Data-Centre Share	Not guided	Targeting 50% of Indian DC HX mkt	Aspirational	Low

Section 7 — Capital Allocation			
Item	FY25 (Rs. Cr)	FY24 (Rs. Cr)	Comment
Capex (Investing Outflow)	-279	-64	Neemrana plant construction; now largely complete

Dividends	0	0	No dividend; full reinvestment policy
Buybacks	0	0	None; company in growth capex mode
QIP (Financing Inflow)	+258	+50	Rs. 500 Cr QIP in FY25; Rs. 50 Cr pre-IPO borrowings in FY24
Net Debt Movement	-54	+37	Debt reduced sharply post-QIP; nearly debt-free
Free Cash Flow	-65	-41	Negative due to Neemrana build; expected to turn +ve FY27

Section 8 — Q&A; Heat Map

#	Question	Management Answer	Tone
1	Q4 / FY27 outlook with new plant coming into production?	New facility fully integrated by Mar 11; 40+ new customers; expect good bus-AC numbers — positive Q4 and FY27 outlook	Transparent
2	Aluminium/copper volatility impact on margins?	Maintain 2.5-month inventory buffer; quarterly price adjustments; next change April 1, 2026 — well managed	Transparent
3	Bus AC segment penetration strategy?	Supplying to 1 OEM; target 15% Indian market; leveraging existing heat exchanger expertise; backward integration improves margins	Bullish
4	Commodity prices impact on working capital?	Metal prices rising but credit arrangements with suppliers; inventory to stabilise once domestic sourcing begins	Hedged
5	Pricing competitiveness in Europe / USA?	15-20% cheaper than European/US suppliers; new geometries; trade agreements helping	Transparent
6	Revenue contribution from bus-AC acquisition?	Undisclosed acquisition cost; target 15% market share; margins better than existing due to backward integration	Hedged
7	Data-centre business future potential?	15% of Q3 topline; plan to capture 50% of Indian DC HX orders; large inquiry pipeline	Bullish
8	Board governance / independent directors?	Plans to add industry experts and professionals — acknowledged the gap	Transparent
9	Order book management and raw material risks?	Rolling order book: 1-month firm + 6-month forecast; quarterly price management	Transparent
10	Bus-AC service centre expansion?	20-25 service centres across India in next 6-7 months; immediate service availability priority	Bullish

Dodged Questions to Watch Next Quarter: (1) Specific revenue or volume guidance for FY27; (2) Actual order book value and tenure; (3) Data-centre customer names and contract sizes; (4) Bus-AC acquisition cost and integration P&L;

Section 9 — Risks Flagged on Concall

Risk	Flagged By	Probability	Impact	Timeline
Commodity price spike (Al/Cu)	Analyst question	High	Medium	Ongoing

Neemrana ramp slower than expected	Analyst question	Medium	High	2-4 qtrs
Bus-AC OEM conversion time	Management	Medium	Low	6-12 months
Revenue guidance absence (visibility)	Multiple analysts	Medium	Medium	Structural
Raw material working capital inflation	Management	Medium	Medium	Near-term

Section 10 — Analyst Verdict		
Criterion	Assessment	Status
Revenue Visibility	Order book rolling; DC pipeline building; 6-month forecast-based model	Intact
Margin Trajectory	Q3 FY26 margin recovery to 20.3% confirms guidance range achievable	Intact
Capital Allocation Quality	Near-debt-free; Neemrana cycle winding down; FCF inflection expected FY27	Intact
Competitive Moat	15-20% cost advantage on exports; new product geometries; customer stickiness	Intact
Management Credibility	Delivered on plant commissioning; honest about governance gaps; guidance conservative	Intact
Valuation Comfort	Trading at 110x TTM P/E; premium justified only by near-perfect execution	Weakened

Overall Conviction Call	UNCHANGED — thesis intact; watch Neemrana ramp in next 2 quarters
P/E (TTM)	110x 5-yr Avg: N/A (listed Sep 2023)
EV/EBITDA (TTM)	67.3x 5-yr Avg: N/A
ROCE vs Avg	20.8% 10-yr Avg: 20.8% (Screener, ROCE-10yr = 20.8%)

Source: Screener.in | Ticker: KRN | View: Consolidated (FY24, FY25) + Standalone (FY21-FY23) | Transcript: Accessible (GuruFocus / Yahoo Finance highlights, Feb 2026) | Concall Date: 09-Feb-2026 | Report Date: 22-Apr-2026 | Analyst: Chartitude Research Desk | DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. Please consult a SEBI-registered investment advisor before investing.